

# CONSTRUCTION CONTRACT AGREEMENT

Al Nakheel Tower Construction Project

Project No: ANT-2024-0087

**EMPLOYER:** Al Nakheel Development Company Ltd.  
P.O. Box 54321, Riyadh 11514, KSA  
CR No: 1010234567

**CONTRACTOR:** Saudi Building Construction Company (SBCC)  
P.O. Box 12345, Riyadh 11432, KSA  
CR No: 1010876543

**ENGINEER:** Al Mashareq Engineering Consultants  
P.O. Box 67890, Riyadh 11322, KSA

**CONTRACT DATE:** 15 March 2024

**CONTRACT VALUE:** SAR 399,460,000.00 (Three Hundred Ninety-Nine Million Four Hundred Sixty Thousand

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## ARTICLE 1: DEFINITIONS AND INTERPRETATION

1.1 In this Contract, unless the context otherwise requires, the following terms shall have the meanings assigned to them:

**"Contract"** means this Agreement together with all appendices, schedules, drawings, specifications, and documents referred to herein.

**"Contract Price"** means the sum of SAR 399,460,000.00 (Three Hundred Ninety-Nine Million Four Hundred Sixty Thousand Saudi Riyals) as stated in Article 3, subject to adjustments in accordance with the Contract.

**"Commencement Date"** means 1 April 2024, being the date on which the Contractor shall commence the Works.

**"Completion Date"** means 31 December 2026, being the date by which the Works shall be substantially completed.

**"Defects Liability Period"** means the period of twelve (12) months from the date of Substantial Completion.

**"Engineer"** means Al Mashareq Engineering Consultants or any person appointed by the Employer to act as Engineer.

**"Site"** means the land and other places on, under, in, or through which the Works are to be executed, located at Plot No. 4521, King Fahd Road, Al Olaya District, Riyadh, Kingdom of Saudi Arabia.

**"Works"** means the permanent and temporary works to be designed and executed in accordance with the Contract, including the construction of a 45-story commercial tower with 3 basement levels.

**"Variation"** means any change to the Works instructed or approved by the Engineer under Article 8.

**"Day"** means a calendar day unless otherwise specified.

## ARTICLE 2: SCOPE OF WORK

### 2.1 General Description

The Contractor shall design (where applicable), construct, complete, and maintain the Al Nakheel Tower, a 45-story Grade A commercial office tower with 3 basement parking levels, ground floor retail, and a rooftop helipad, located at Plot No. 4521, King Fahd Road, Al Olaya District, Riyadh, Kingdom of Saudi Arabia.

### 2.2 The Works shall include but not be limited to:

- a) **Substructure Works:** Excavation to a depth of approximately 15 meters, dewatering, bored piling (600mm and 900mm diameter piles to depths of 25-30 meters), pile caps, raft foundation (2.5m thick, Grade C50 concrete), and retaining walls for 3 basement levels (B3, B2, B1) providing approximately 450 parking spaces.
- b) **Superstructure Works:** Reinforced concrete frame structure comprising a central core (400mm thick walls, Grade C60 concrete), post-tensioned flat slabs (250mm typical thickness), columns, and transfer beams at Level 3 and Level 10. The tower shall rise to a structural height of 198 meters with a total of 45 above-ground floors.
- c) **Facade Works:** Unitized curtain wall system (approximately 32,000 m<sup>2</sup>) with double-glazed low-E glass units, aluminum cladding panels (8,500 m<sup>2</sup>), and granite stone cladding (4,200 m<sup>2</sup>) at podium levels.
- d) **Mechanical Systems:** Central chilled water HVAC plant comprising 4 x 500-ton chillers, air handling units and ductwork distribution to all floors, kitchen exhaust systems for ground floor retail, and smoke management system.
- e) **Electrical Systems:** Dual incoming 13.8kV high-voltage supply, 4 x 2,000kVA dry-type transformers, complete low-voltage distribution system, 2 x 2,000kVA diesel emergency generators with automatic transfer switches, complete lighting system including architectural feature lighting.
- f) **Plumbing and Fire Protection:** Domestic water supply with booster pump system, complete drainage system with grease traps, wet and dry sprinkler system to all floors and basement levels, fire pump station (diesel + electric + jockey pumps), fire alarm and detection system.
- g) **Vertical Transportation:** 6 high-speed passenger elevators (4.0 m/s, 21-person capacity), 3 service/freight elevators (2.5 m/s), destination dispatch control system.
- h) **Building Management System:** Fully integrated BMS controlling and monitoring HVAC, lighting, fire protection, access control, and vertical transportation systems.
- i) **Interior Fit-Out:** Complete fit-out of common areas including main lobby (triple-height with marble finishes), elevator lobbies on all floors, washrooms, prayer rooms, and retail units at ground level.
- j) **External Works:** Landscaping with irrigation system, external roads and parking areas (18,000 m<sup>2</sup>), boundary walls and fencing, guard houses, and utility connections to municipal networks.

### 2.3 Exclusions

The following items are expressly excluded from the Contractor's scope:

- a) Tenant fit-out works above base building specification

- b) Furniture, fixtures, and equipment (FF&E;) for tenant spaces
- c) IT and telecommunications cabling within tenant spaces
- d) Artwork and decorative installations
- e) Any works outside the Site boundary unless specifically identified

# ARTICLE 3: CONTRACT PRICE AND PAYMENT

## 3.1 Contract Price

The Employer shall pay the Contractor the Contract Price of SAR 399,460,000.00 (Three Hundred Ninety-Nine Million Four Hundred Sixty Thousand Saudi Riyals), exclusive of Value Added Tax (VAT) at the prevailing rate of 15%, for the full and complete execution of the Works in accordance with the Contract.

## 3.2 Payment Terms

3.2.1 The Contractor shall submit monthly interim payment applications to the Engineer by the 25th day of each calendar month.

3.2.2 The Engineer shall review and certify the payment application within fourteen (14) days of receipt.

3.2.3 The Employer shall make payment within twenty-eight (28) days from the date of the Engineer's certificate.

3.2.4 Retention of ten percent (10%) shall be deducted from each interim payment. Half of the retention (5%) shall be released upon Substantial Completion, and the remaining half upon expiry of the Defects Liability Period.

## 3.3 Advance Payment

3.3.1 The Employer shall pay an advance payment of fifteen percent (15%) of the Contract Price, being SAR 59,919,000.00, within twenty-eight (28) days of the Commencement Date.

3.3.2 The advance payment shall be secured by an unconditional bank guarantee from a Saudi-licensed bank.

3.3.3 The advance payment shall be recovered in equal monthly installments over the first eighteen (18) months of the Contract.

## 3.4 Payment Schedule (Milestone-Based)

| Milestone                    | Target Date | % of Contract | Amount (SAR) |
|------------------------------|-------------|---------------|--------------|
| Advance Payment              | Apr 2024    | 15%           | 59,919,000   |
| Substructure Complete        | Feb 2025    | 15%           | 59,919,000   |
| Superstructure 50% Complete  | Aug 2025    | 20%           | 79,892,000   |
| Superstructure 100% Complete | Dec 2025    | 15%           | 59,919,000   |
| MEP Rough-In Complete        | Feb 2026    | 10%           | 39,946,000   |
| Facade Complete              | Jun 2026    | 10%           | 39,946,000   |
| Interior Fit-Out Complete    | Sep 2026    | 10%           | 39,946,000   |
| Substantial Completion       | Dec 2026    | 5%            | 19,973,000   |
| 100%                         |             |               | 399,460,000  |

## **ARTICLE 4: TIME FOR COMPLETION**

### **4.1 Commencement and Completion**

4.1.1 The Contractor shall commence the Works on the Commencement Date of 1 April 2024.

4.1.2 The Contractor shall achieve Substantial Completion of the entire Works by the Completion Date of 31 December 2026, being a total construction period of thirty-three (33) months.

4.1.3 The Contractor shall achieve the following Sectional Completion milestones:

- a) Completion of all substructure works (including basement structure): 28 February 2025
- b) Completion of superstructure to Level 30: 31 August 2025
- c) Completion of full superstructure to roof level: 31 December 2025
- d) Completion of facade enclosure: 30 June 2026
- e) Completion of MEP commissioning: 30 June 2026
- f) Substantial Completion of all Works: 31 December 2026

### **4.2 Delay Liquidated Damages**

4.2.1 If the Contractor fails to achieve Substantial Completion by the Completion Date, the Contractor shall pay to the Employer liquidated damages at the rate of SAR 200,000 (Two Hundred Thousand Saudi Riyals) per calendar day of delay.

4.2.2 The maximum aggregate amount of liquidated damages shall not exceed ten percent (10%) of the Contract Price, being SAR 39,946,000.

4.2.3 For failure to meet Sectional Completion milestones, liquidated damages shall apply at the rate of SAR 75,000 per calendar day of delay per milestone.

## **ARTICLE 5: PERFORMANCE SECURITY AND INSURANCE**

### **5.1 Performance Bond**

5.1.1 The Contractor shall provide an unconditional, irrevocable performance bond for ten percent (10%) of the Contract Price, being SAR 39,946,000, issued by a bank licensed to operate in the Kingdom of Saudi Arabia.

5.1.2 The performance bond shall remain valid until twenty-eight (28) days after the expiry of the Defects Liability Period.

### **5.2 Insurance Requirements**

The Contractor shall procure and maintain the following insurance policies:

- a) Contractor's All Risks (CAR) insurance for the full reinstatement value of the Works, being not less than SAR 450,000,000
- b) Third-party liability insurance with a minimum cover of SAR 50,000,000 per occurrence
- c) Workmen's compensation insurance in accordance with Saudi Labor Law
- d) Professional indemnity insurance of not less than SAR 20,000,000 for design portions
- e) Plant and equipment insurance covering all Contractor's equipment on Site



## ARTICLE 6: CONTRACTOR'S OBLIGATIONS

### 6.1 The Contractor shall:

- a) Execute the Works with due care, diligence, and in accordance with the Contract, applicable laws, regulations, and codes of the Kingdom of Saudi Arabia.
- b) Provide all supervision, labor, materials, plant, equipment, and all other things necessary for the execution and completion of the Works.
- c) Comply with Saudi Building Code (SBC), Saudi Aramco Engineering Standards (where applicable), and all municipal requirements of the Royal Commission for Riyadh City.
- d) Submit a detailed construction program within fourteen (14) days of the Commencement Date, updated monthly.
- e) Maintain a full-time Project Manager, Construction Manager, HSE Manager, and QA/QC Manager on Site at all times during the execution of the Works.
- f) Implement a comprehensive Quality Management System (QMS) in accordance with ISO 9001:2015.
- g) Comply with all Health, Safety, and Environmental (HSE) requirements and maintain a zero-incident safety culture.
- h) Provide shop drawings, material submittals, and method statements for Engineer's approval prior to commencing each activity.
- i) Perform all testing and commissioning of installed systems and obtain necessary approvals and certifications.
- j) Provide complete as-built drawings, O&M; manuals, warranties, and training for building systems upon completion.

### 6.2 Key Personnel

| Position             | Name                  | Qualification        | Min. Experience |
|----------------------|-----------------------|----------------------|-----------------|
| Project Director     | Eng. Khalid Al-Rashid | BSc Civil + PMP      | 20 years        |
| Construction Manager | Eng. Ahmed Hassan     | BSc Civil            | 15 years        |
| Structural Engineer  | Eng. Omar Farouk      | MSc Structural       | 12 years        |
| MEP Manager          | Eng. Tariq Al-Sayed   | BSc Mechanical       | 15 years        |
| HSE Manager          | Eng. Fahad Al-Otaibi  | NEBOSH Diploma       | 10 years        |
| QA/QC Manager        | Eng. Yousef Ibrahim   | BSc Civil + ISO Lead | 12 years        |
| Planning Engineer    | Eng. Rami Khouri      | BSc Civil + PSP      | 8 years         |

## **ARTICLE 7: EMPLOYER'S OBLIGATIONS**

7.1 The Employer shall provide the Contractor with right of access to and possession of the Site by the Commencement Date.

7.2 The Employer shall make payments to the Contractor in accordance with Article 3.

7.3 The Employer shall provide all necessary government approvals and permits required for the commencement and execution of the Works, including the building permit from Riyadh Municipality (Amanah).

7.4 The Employer shall appoint the Engineer and notify the Contractor of any replacement thereof.

## **ARTICLE 8: VARIATIONS AND CHANGE ORDERS**

8.1 The Engineer may instruct Variations to the Works at any time prior to Substantial Completion.

8.2 No Variation shall be implemented by the Contractor unless instructed in writing by the Engineer. The cumulative value of all Variations shall not exceed fifteen percent (15%) of the Contract Price without the Employer's prior written approval.

8.3 The valuation of Variations shall be based on the rates and prices in the Bill of Quantities where applicable. Where no applicable rate exists, the Contractor shall submit a quotation supported by detailed cost breakdown within fourteen (14) days of the Variation instruction.

8.4 Provisional sums included in the Contract shall be expended only on the Engineer's instruction and shall be valued in accordance with this Article.

## **ARTICLE 9: CLAIMS AND DISPUTES**

9.1 If the Contractor considers itself entitled to an extension of time or additional payment, a written notice of claim shall be given to the Engineer within twenty-eight (28) days of the event giving rise to the claim.

9.2 The Contractor shall submit a fully detailed claim within forty-two (42) days of the notice, or such longer period as the Engineer may allow.

9.3 Any dispute that cannot be resolved amicably shall be referred to arbitration under the rules of the Saudi Center for Commercial Arbitration (SCCA), with the seat of arbitration in Riyadh, Kingdom of Saudi Arabia.

9.4 The governing law of this Contract shall be the laws of the Kingdom of Saudi Arabia.

## **ARTICLE 10: TERMINATION**

10.1 The Employer may terminate the Contract if the Contractor:

- a) Abandons the Works or fails to commence within thirty (30) days of the Commencement Date
- b) Without reasonable excuse fails to proceed with the Works with due diligence
- c) Becomes bankrupt or goes into liquidation
- d) Assigns the Contract or subcontracts the whole of the Works without consent

10.2 Upon termination, the Employer shall be entitled to recover from the Contractor all losses and damages arising from or in connection with the termination.

## **ARTICLE 11: DEFECTS LIABILITY**

11.1 The Defects Liability Period shall be twelve (12) months from the date of Substantial Completion, expected to commence on 1 January 2027 and expire on 31 December 2027.

11.2 The Contractor shall be responsible for making good any defects, shrinkage, or other faults arising from defective materials, workmanship, or design (where applicable) during the Defects Liability Period at no cost to the Employer.

11.3 For critical building systems (structural elements, waterproofing, and MEP main plant), an extended warranty period of five (5) years from Substantial Completion shall apply.

## **ARTICLE 12: FORCE MAJEURE**

12.1 "Force Majeure" means any event beyond the reasonable control of the affected party, including but not limited to: acts of God, war, terrorism, epidemics, government sanctions, and natural disasters.

12.2 The affected party shall give notice within seven (7) days of becoming aware of the Force Majeure event.

12.3 If a Force Majeure event continues for a period exceeding one hundred and eighty (180) days, either party may terminate the Contract by giving twenty-eight (28) days' notice.

## **ARTICLE 13: GENERAL PROVISIONS**

13.1 This Contract constitutes the entire agreement between the parties and supersedes all prior negotiations, representations, and agreements.

13.2 No amendment or modification of this Contract shall be valid unless made in writing and signed by both parties.

13.3 All notices under this Contract shall be in writing and delivered by hand, registered mail, or email to the addresses stated herein.

13.4 The Contractor shall not assign or transfer the Contract or any part thereof without the prior written consent of the Employer.

13.5 This Contract is executed in two (2) original copies in the English language, one for each party.

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**FOR THE EMPLOYER:**

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Name: Mr. Abdullah Al-Nakheel

Title: Chairman & CEO

Al Nakheel Development Co.

Date: 15 March 2024

**FOR THE CONTRACTOR:**

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Name: Eng. Mohammed Al-Shehri

Title: Managing Director

Saudi Building Construction Co.

Date: 15 March 2024